

Evidence of Complacency

Investors consider bonds at today's prices a "gift." If they are a gift, it resembles the one the Queen gave to Snow White, and today's Snow Whites are no less naive. Their lack of concern is revealed by the belief that the trend of rates is down, the types of debt that people are buying, the narrow spread between healthy and unhealthy issuers, the length of maturities that people are willing to own, and the level of safety that investors erroneously believe that they enjoy. Let's examine each of these areas briefly.

The record buying of bonds in the early 1990s is all the proof needed to show that the public became convinced that interest rates will be trending lower over the indefinite future. Supporting this conclusion are two observations on the public's choice of mortgage financing. In 1994, two thirds of all mortgages issued were variable rate mortgages. People only choose the variable rate option when they believe that rates are more likely to fall than rise. In a similar vein, "balloon" mortgages have soared in popularity over the past three years. With a balloon mortgage, the borrower pays some interest for five to seven years, then has to pay off the whole mortgage or refinance the loan. In other words, to save $\frac{1}{3}\%$ on his mortgage rate, the home buyer bets that rates will be lower or unchanged when it comes time to refinance and agrees to pay the difference if they go up. The popularity of this method of financing became widespread in the early 1990s because borrowers were extrapolating the multi-year decline in interest rates indefinitely into the future. With the latest easing in rates, that sentiment is no doubt still strong.

In the past ten years, investors have even been buying U.S. Savings Bonds in volumes not seen since fifty years ago. To understand the significance of this trend, just find 1945 on the long term bond chart. Another sign of a major top is the rapid growth of international bond funds. Why bother to discriminate among borrowers? You can now own a piece of the debt of the whole world!

Investors are also focusing so exclusively on the promised rate of interest that they are taking for granted the safety of their principal. For instance, the bonds and bills of government home loan institutions such as the Federal National Mortgage Association and the Federal Home Loan Bank in 1993 briefly had yields below the rate of Treasuries, implying that buyers rated them the safest debt in the world. The narrow spread between high and low grade bonds is similarly reflective of utter complacency with respect to any question of safety.